PARTNERS of the AMERICAS
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Cost Allocation Policy

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Enacted

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1. Objective

The purpose of this Cost Allocation Policy is to establish guidelines for the allocation of direct and indirect costs incurred by Partners of the Americas Inc. (Partners). This policy particularly ensures that indirect costs are allocated in a consistent, equitable, and transparent manner across various federal and non-federal grants, programs, and departments. It also ensures that Partners is following 2 CFR Part 200, Subpart E, and Partners' indirect cost rate (NICRA), as approved by the cognizant federal agency, USAID.

2. Definitions

- **Direct Allocation:** Direct costs are allocated directly to the respective programs and departments based on actual usage or consumption. These costs are directly related to the execution of a specific grant or contract. They are therefore easily traced and directly allocated. For list of direct cost, please see Partners Allowable & Unallowable Cost Policy.

- **Indirect Allocation:** Indirect costs are allocated based on a predetermined allocation base that reflects the proportionate benefit received by each program. Measuring benefit received is the critical requirement and central task in allocating costs.

3. Allocation of Direct Shared Project Costs

These costs are directly incurred for the benefit of multiple programs and are specifically identifiable and shared among two or more programs or projects. Direct shared costs are allocated among programs based on predetermined allocation methods that reflect the usage or benefits derived by each program.

3.1 Personnel & Fringe Costs – Multiple Programs

This cost is salaries, wages, and fringe benefits of employees located at Partners home office and outside of home office who are directly working on multiple projects or programs

Allocation Method: Time and Effort (Level of Effort – LOE)

Revise: Monthly

All employees are required to maintain a record of their working hours and submit a timesheet for each pay period. The timesheet should provide a clear breakdown of the number of hours dedicated to each specific program they are involved in. Supervisors are responsible for approving the

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submitted timesheets to ensure their accuracy. Using the authorized timesheet, the payroll system distributes salaries and benefits to individual programs.

3.1.1 Example: Level of Effort – LOE

One Program Officer is assigned to assist two program activities in Mexico, Program A and Program B. Their salary is $52,000 annually or $4,000/month and dedicate 55% of their time to Program A and 45% to Program B based on their monthly timesheet.

	A	B	C
Program	**Level of Effort**	**Monthly Salary Base**	**Monthly Salary Allocated (A X B)**
Program A	55%	$ 4,000.00	$ 2,200.00
Program B	45%	$ 4,000.00	$ 1,800.00
Total	**100%**		**$ 4,000.00**

3.2 Facilities Costs – Multiple Programs

Facilities cost include rent, utilities, and maintenance expenses for office space and other facilities used for more than one program.

Allocation Method: Number of Employees with Level of Effort (LOE)

Revise: Quarterly and/or when there is a change in the number of employees or program assignments.

3.2.1 Example: Shared Office

Partners Colombia office located in Bogota monthly rent is $10,000.00. The office is used by 5 employees working on 3 programs.

1. **Step 1**. Calculate Rent per Employee (RE)
    a. RE= Monthly Rent/Total Number of Employees

2. **Step 2**. Calculate Rent for each employee per program (REP)

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a. REP= RE X LOE (Level of effort)

3. **Step 3**. Add rent allocated for each program.

		Program 1		Program 2		Program 3	
	Rent Per Employee	Level of Effort	Monthly Rent Allocated (REP = RE * LOE)	Level of Effort	Monthly Rent Allocated (REP = RE * LOE)	Level of Effort	Monthly Rent Allocated (REP = RE * LOE)
Employee A	$ 2,000.00	40%	$ 800.00	40%	$ 800.00	20%	$ 400.00
Employee B	$ 2,000.00	50%	$ 1,000.00		$ -	50%	$ 1,000.00
Employee C	$ 2,000.00	100%	$ 2,000.00		$ -		$ -
Employee D	$ 2,000.00	50%	$ 1,000.00	50%	$ 1,000.00		$ -
Employee E	$ 2,000.00	60%	$ 1,200.00	40%	$ 800.00		$ -
Total	**$ 10,000.00**		**$ 6,000.00**		**$ 2,600.00**		**$ 1,400.00**

3.3 Other Administrative Costs – Multiple Programs

These costs include IT infrastructure, accounting software/services, general security, local insurance, and other costs that are similar in nature.

Allocation Method: Inception to date cost proportion

Revise: Monthly

3.3.1 Example: Shared Administrative Cost

Partners Guatemala office incurs the following monthly cost for IT, accounting, security, and general office supplies. All 3 active programs benefit from these services.

1. **Step 1**. Update inception to date cost (ITD) for all active programs.

2. **Step 2**. Calculate the percentage of allocation based on ITD cost for each program compared to the total ITD of all active programs.
   a. Program 1 % = ITD cost Program 1/ Total ITD X100%
3. **Step 3**. Use the percentage for each line of expense to allocate cost to program.

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			Program 1	Program 2	Program 3	Total	
			$ 4,000,000.00	$2,800,000.00	$ 200,000.00	$ 7,000,000.00	Cost - ITD (as of prior month)
	Monthly Cost		57%	40%	3%	100%	Allocation Rate
IT Support	$ 1,000.00		$ 571.43	$ 400.00	$ 28.57	$ 1,000.00	
Accounting	$ 1,500.00		$ 857.14	$ 600.00	$ 42.86	$ 1,500.00	
Security	$ 1,500.00		$ 857.14	$ 600.00	$ 42.86	$ 1,500.00	
Office Supplies	$ 2,000.00		$ 1,142.86	$ 800.00	$ 57.14	$ 2,000.00	
	$ 6,000.00		**$ 3,428.57**	**$ 2,400.00**	**$ 171.43**	**$ 6,000.00**	

3.3.2 Example: Shared Administrative Cost -Payroll

Partners Mexico office paid $1,000.00 to Paycom, payroll processing fee for the month of August. There are a total of 12 employees on the payroll working for 3 different programs.

1. **Step 1**. Determine the number of employees on payroll for the month for each program.

2. **Step 2**. Calculate the percentage of allocation based on the total number of employees for each program compared to the total number of employees on payroll.
   a. Program A % = # of employees Program A/ Total # of employees

3. **Step 3**. Use the percentage for each line of expense to cost of payroll fee.

Program	Number of Employees	Allocation Rate (A)	Allocation Base (Payroll Fee) (B)	Payroll Fee Allocated (A X B)
Program A	4.00	33%	$ 1,000.00	$ 333.33
Program B	5.00	42%	$ 1,000.00	$ 416.67
Program C	3.00	25%	$ 1,000.00	$ 250.00
Total	**12.00**	**100%**		**$ 1,000.00**

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4 Allocation of Indirect Costs

Indirect costs are expenses that cannot be directly attributed to a specific project, program, or activity within an organization. Instead, they are incurred to support the overall operations of the organization and benefit multiple projects or activities. Indirect costs are essential for the functioning of the organization, and they are necessary for the successful implementation of various programs and projects. These costs are not easily identifiable with any grant or contract and, therefore, cannot be charged directly to a specific funding source.

Indirect costs are charged to grants and contracts based on an indirect cost rate (NICRA), which is negotiated and approved with USAID, the federal cognizant agency of Partners. The indirect cost rate represents the percentage of indirect costs to be applied to direct costs when billing or reporting on federal grants. The following are some examples of typical indirect costs:

1. **Administrative Staff Salaries:** Salaries and benefits for administrative staff, such as executive directors, finance personnel, business development, human resources, and administrative support, who contribute to the overall operation of the organization.

2. **Home Office Facilities Costs:** Rent, utilities, and maintenance expenses for office space and other facilities used for the organization's operations and activities.

3. **General Supplies:** Office supplies and other consumables used to support the day-to-day operations of the organization.

4. **Insurance:** General liability insurance, property insurance, and other types of coverage that protect the organization from various risks.

5. **Accounting and Auditing:** Costs associated with accounting services, financial reporting, and external auditing required for compliance and transparency.

6. **IT Infrastructure:** Expenses related to information technology, including hardware, software, maintenance, and support.

7. **Communication and Utilities:** Costs of communication services (e.g., telephone, internet) and utilities (e.g., electricity, water) for the home office.

8. **Depreciation:** The allocation of the cost of long-term assets (such as equipment and buildings) over their useful life.

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4.1 Indirect Cost Pool Definition

An indirect cost pool is to the accumulation of indirect costs mentioned above, that cannot be directly attributed to a specific program, grant, or project. Indirect cost pools are commonly used in cost allocation processes to ensure that shared expenses are fairly distributed among different activities or departments within an organization. This pool serves as a collective bucket for these expenses, which are later allocated to various cost objects, such as specific programs, based on the following formula

Total Direct Program Expenses / Total Indirect Cost Pool = Indirect Rate %

The percentage calculated above for the indirect rate is then applied to the total direct program expenses.

Assuming indirect rate of	28.69%
Total Direct Project Costs	$100,000.00
Indirect Costs Applied	$ 28,690.00
Total Direct and Indirect Project Costs	$128,690.00

5 Consistency and Regular Review

All Partners programs must adhere to the cost allocation methods outlined in this policy, except in cases where specific donor restrictions apply. Ensuring consistency in the cost allocation policy is crucial to upholding a transparent, equitable, straightforward, and standardized financial system that encourages accountability.

Regular reviews and updates are necessary to ensure that the allocation methods remain appropriate for the organization's evolving needs and circumstances.

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